

Assignment: Global Financial Architecture

1. Operational Facts & Entity Profiles

Use the following factual data as the sole basis for your design.

Entity	Legal Structure	Operational & Financial Profile
HQ (USA)	Ultimate Parent (100% Owner of all Subs)	Role: Global HQ and Intellectual Property (IP) Holder. Employment: Currently only few employees. Hiring planned for future expansion. Financial Status: Deficit (Pre-BEP). Currently generates minimal revenue where operating Expenses exceed revenue, but projected to generate significant revenue in the future. Liquidity: Requires external funding to maintain solvency at the moment.
Korea	100% Subsidiary	Role: Primary Research & Development (R&D;) Center. Employment: Houses the largest headcount (Engineering & Ops). Financial Status: Cash Surplus. Due to historical capital structure, this entity holds approximately 90% of the group's liquid assets. Liquidity: Currently funds its own operations and is the only source of liquidity for the group's deficits.

Luxembourg	100% Subsidiary	Role: European Regional HQ and Contracting Entity for EU customers. Employment: Minimal direct employments; relies on subsidiaries for operational support. Financial Status: Deficit (Pre-BEP). Revenue is generated but is currently insufficient to cover operating costs. Projection: Projected to become highly profitable within 3 years, necessitating a strategy for future profit repatriation to the US Parent.
France	100% Subsidiary	Role: Sales Support Entity. Employment: Employs local sales team engaging in client acquisition activities for Luxembourg and US. Financial Status: Zero self-generated revenue.

2. The Objective

Design a comprehensive **Global Financial & Contractual Architecture** that optimizes for liquidity management, tax compliance, and operational efficiency.

You are free to design the structure as you see fit, provided it addresses the following core requirements based on the facts above:

- 1. Contractual Structure:** Define the legal relationships between entities that justify the flow of funds and services.
- 2. Financial Flow:** Design the mechanism for liquidity distribution from the surplus entity to deficit entities, and the future repatriation of profits.
- 3. Tax Optimization & Compliance:** Demonstrate how your structure mitigates specific risks (PE in France, Transfer Pricing compliance globally) and optimizes tax efficiency for loss-making entities.

3. Deliverables

A. Master Architecture Diagram (1 Page or 1 Page for each objectives)

- Create a high-resolution diagram visualizing the complete ecosystem.
- Include all entities, funding flows, operational payments, legal instruments, and short explanations if needed

- Format: FigJam, Miro, or tool of your choice

B. "The CFO Bot" (Custom AI)

- Build and train a Custom AI Chatbot using the tool of your choice
- **Role:** The AI will act as the CFO of your designed structure.
- **Goal:** The evaluator will interview the bot to stress-test the logic of your design. The bot must be able to explain and defend:
 - The rationale behind every chosen financial instrument.
 - The specific defense logic against tax audits.
 - The operational mechanics of the proposed system.

Notes:

This assignment is intended to be completed within max 5 hours. Please do not spend more time/resources.